holdings were, later on, sold at a loss, the important thing that was averted in the UTI crisis management was a panic among individual investors.

How precise can this be?

We have no illusions about the scientific precision that can be achieved in this analysis. [1] These kinds of calculations are notoriously vulnerable to changes in assumptions. However, there are two reasons why such analysis is valuable. First, the very act of conducting the analysis forces the decision makers to improve their understanding of the problems that they seek to solve.

An integral part of a sound cost–benefit analysis is asking the question: Is there another and superior way through which we could got the job done? Could we achieve the desired objective with a lower use of state coercion? When calculations are absent, the policy process tends to degenerate into a contest of rival political influences. Systematic cost–benefit analysis encourages an exploration of alternative policy pathways, and generally yields better thinking.

Second, with all its imprecision, cost–benefit analysis is able to block some egregiously wrong initiatives. The formal step of cost–benefit analysis, in our opinion, will block perhaps a fifth of the blunders of policymakers in India.

The zone of applicability of cost–benefit analysis

Cost–benefit analysis is a valuable tool when the state intervenes in society, either through tax-and-spend or through making rules that coerce private persons. This is the zone where there is value in seeing the full picture, and toting up the costs and benefits. The costs and benefits under examination are the costs and benefits *to society*.